Cultural Diplomacy and Economic Relations Between France and China

How Soft Power Strategies Drive Bilateral Economic Opportunities

Jorge A. Márquez Barragán

Interdisciplinary Studies Capstone Project

Auburn University

April 2026

Introduction

In this era of global interconnectedness, the relationship between cultural understanding and economic expansion is rapidly becoming an area of scholarly interest. Nations that invest in the deliberate cultivation of mutual understanding through the exchange of ideas, art, language, and values often find that these investments yield dividends well beyond soft power prestige. These efforts are succinctly named cultural diplomacy. The relationship between the People's Republic of China and France offers a compelling case study concerning soft power and cultural diplomacy. Since Charles de Gaule's historic decision to engage in diplomatic recognition of the People's Republic of China in 1964, the Franco-Chinese dynamic has evolved through decades of cultural exchange, institutional partnership and commercial expansion. The object of this work is to argue the idea that cultural diplomacy and cross-cultural understanding between France and China has catalyzed bilateral economic growth, creating business opportunities in trade, investment and tourism that may not otherwise exist.

The central thesis of this study is that the soft power strategies employed by both France and China have cultivated an environment conducive to trade, investment and business collaboration. This has been brought about through institutions such as the Alliance Française, the Institut Français, and the Confucious Institute (孔子学院), alongside governmental partnerships in education, science and the arts. Through this work, I seek to demonstrate that cultural diplomacy is not uniquely employed as a means of gaining international prestige, but also a strategic pathway toward deeper, more sustainable economic partnerships. I aim to achieve this by examining the foundations of Franco-Chinese cultural engagement.

This inquiry requires drawing upon an interdisciplinary framework, integrating and synthesizing perspectives from French Studies, East Asian studies, and business. From the

vantage point of Frech studies, this work analyzes France's enduring tradition of cultural diplomacy, including the institutional architecture of the French State which promotes French language culture beyond the borders of l'Hexagone. From the perspective of East Asian Studies, it examines China's approach to global projection, significantly through the Confucius Institutes, and considers how this Chinese diplomatic philosophy shapes the bilateral relationship. The business dimension provides an analytical standpoint for evaluating how these cultural diplomacy efforts translate into tangible economic outcomes, including trade flows, foreign direct investment and cross-border entrepreneurship. Integrating these three disciplinary lenses intends to illuminate the often underestimated and overlooked connections between cultural understanding and economic activity in bilateral relations.

I deem that the significance of this topic extends beyond the case of France and China. With relations between powerful nations frequently dominating world headlines, cultural diplomacy has become a stabilizing and economically generative force that merits close attention. France and China are two nations with profoundly different historical trajectories, political systems and cultural norms; however, as this work aims to present, their sustained investment in mutual cultural understanding has wrought a foundation for economic partnerships that have proven extraordinarily resilient, withstanding even political friction. Having a deeper understanding of the reasons behind how and why this can occur has practical implications for business leaders, policymakers and scholars seeking to promote international cooperation through peaceful, non-coercive means.

The next section of this paper will establish the theoretical framework drawing on Joseph Nye's concept of soft power and the broader literature of on cultural diplomacy to define key terms and analytical concepts. The third section of will trace the historical development of Franco-Chinese relations, beginning in 1964 with de Gaul recognizing the People's Republic of China and continuing through decades of engagement, highlighting diplomatic milestones and

their effects on cultural exchange. The fourth section will examine France's cultural diplomacy apparatus and its deployment in China. The fifth section considers China's reciprocal efforts, placing particular emphasis on the Confucius Institute's operation in France. The sixth section will analyze the economic dimensions of the relationship, drawing on the data from bilateral trade, foreign direct investment, tourism, and specific sectors such as the French wine industry. The paper concludes with the synthesis of these findings and reflections on the broader implications of the Franco-Chinese experience for the study and practice of cultural diplomacy in international and cultural relations.

The Theoretical Framework of Soft Power and Cultural Diplomacy

The analytical foundation of this work rests on the concept of soft power. This term was coined by the American political scientist Joseph Nye in the early 1900s and subsequently elaborated in his influential work on the subject. Nye defined soft power as the ability of a nation to influence the behavior and preferences of other actors in international relations through the attractiveness of its culture, political values and foreign policy rather than through coercion or economic inducement (Nye, 2004). In contrast to hard power, which operates through military force, or economic sanctions, soft power functions through attraction. This is to say that when a nation is admired, its values are seen as legitimate, its policies are perceived as inclusive, and other states are more likely to seek cooperative relationships rather than taking adversarial positions against it (Dikanbayeva et al., 2025).

One of the primary instruments through which nations exercise soft power is Cultural diplomacy. Where soft power refers to a broader capacity of a nation to influence others through attraction, cultural diplomacy refers to specific practices and institutions through which a state can deliberately promote its culture, language and values to foreign audiences. As Adleiba and Sakaev (2019) note, France pioneered the institutional model for cultural diplomacy with the establishment of the Alliance Française in 1883, a then unique cultural institute designed to promote a national language and literature abroad. This institutional innovation laid the foundation for a global network that would encompass 154 cooperation departments, 124 French Institutes and more than 6,000 employees worldwide by the 21st century (Adleiba & Sakaev, 2019). According to the SoftPower30 report presented at Davos in 2017, France ranked first among all nations in terms of overall soft power influence. This is a testament to this nation's cultural diplomacy infrastructure and its effectiveness.

The theoretical literature on soft power does draw some criticism from scholars who argue that the concept is not focused enough to be analytically useful, or that it obscures the extent to which cultural influence is inseparable from economic or military power. Others question whether soft power can be deliberately manufactured or whether it emerges in an organic manner from a nation's domestic characteristics. Despite such critiques, the concept of soft power remains widely employed in the study of international relations. Its relevance is particularly evident in the case of Franco-Chinese relations. Both France and China have made deliberate, state-led efforts to invest in cultural diplomacy institutions. Both nations have articulated explicit strategies linking cultural engagement to broader foreign policy objectives.

A complementary theoretical perspective comes from the concept of "coopetition", which Tran (2022) has specifically applied to Franco-Chinese relations. This term describes a dynamic in which two actors compete and cooperate simultaneously. This pattern categorizes characterizes much of the relationship between these two nations. As argued by Tran, China and France have maintained deep economic exchange and thorough cooperation since 1964; however, their complex relationship is also marked by enduring and intensifying concerns within the realms of geopolitics, human rights, and trade reciprocity. The framework of cooperation is highly valuable to this work as it captures the nuanced reality of cultural diplomacy in the context of Franco-Chinese relations. Cultural engagement has served both nations as an expression of their mutual interest and as an instrument for the strategic management of the competitive dimensions within the relationship.

A third theoretical strand that is relevant to this analysis concerns the concept of psychic distance in international business. Scholars of cross-cultural management have long recognized that the cultural differences between trading partners can often hinder commercial exchange by increasing the cost of important factors such as communication, negotiation, and relationship management. Conversely, efforts to reduce said psychic distance, including language training,

cultural exchange programs, and cross-cultural education, can facilitate trade by building trust and mutual understanding which is paramount for successful business partnerships. Through their study of French wine exports in China, Shao et al. (2002) empirically demonstrated this dynamic. According to their findings, relationship management, investment in cross-cultural understanding, and communication quality all positively affected financial export performance. It is important to note that their study also found that cultural distance had the ability to moderate business distance on relationship management, suggesting that cultural diplomacy initiatives may have a significant impact on bilateral relationships, precisely those where cultural differences are greatest.

Together, these theoretical perspectives of soft power, cultural diplomacy and psychic distance provide a robust framework for analyzing the nexus between cultural diplomacy and economic outcomes in Franco-Chinese relations. Soft power theory explains the reason behind nations' investments in cultural diplomacy and how cultural attractiveness generates influence. The coopetition framework captures the complex, multifaceted character of the bilateral relationship between China and France. Lastly, the psychic distance literature provides a mechanism for linking cultural understanding to measurable economic outcomes. The following sections apply this framework to the historical and contemporary dynamics of the relationship between France and the People's Republic of China.

Historical Background of the Evolution of Franco-Chinese Relations

De Gaulle's recognition of the People's Republic of China

The modern era of Franco-Chinese relations began with what is considered by many historians to be one of the most consequential diplomatic decisions of the Cold War era. On January 27, 1964, President Charles de Gaulle announced his decision to extend formal diplomatic recognition to the People's Republic of China. This was an extraordinarily strategic move at the time, as France became the first Western power to recognize the People's Republic of China, breaking with the policy led by the United States which aimed to isolate Communist China and recognize the Republic of China on Taiwan as the sole legitimate representative of the Chinese people (Martin, 2008). De Gaulle's decision was driven by a combination of strategic considerations and a characteristic conviction that the role of France as a global power required it to engage with all significant states regardless of their differences in political systems.

Several factors converged to make this recognition possible, and in de Gaulle's perspective advantageous. In the early 1960's the Sino-Soviet split had become increasingly apparent, which convinced de Gaulle that China's foreign policy was genuinely independent and that having closer ties with Beijing would strengthen France's position vis-à-vis Washington D.C. as well as Moscow. De Gaulle explained to his confidant Alain Peyrefitte that France needed strategic alternatives to bolster its independence from the superpowers (Martin 2008). The end of the Algerian War in 1962 removed a major obstacle to improved Franco-Chinese relations. The Cuban Missile Crisis of the same year also reinforced de Gaulle's conviction that a bipolar cold war order was unsustainable and that a multipolar order was emerging.

The recognition process was characterized by extreme secrecy and meticulous planning. De Gaulle dispatched former Prime Minister Edgar Faure on a confidential mission to

Beijing in late 1963, with instructions to sound out the Chinese position without making France appear as a petitioner (Lüthi, 2008). Economic contrasts between Chinese officials and French businessmen became a less conspicuous communication channel between the two nations' governments. De Gaulle's foreign minister, Maurice Couve de Murville, later described the establishment of relations with China as the action that best defined the philosophy of de Gaulle's international policy, a philosophy that elevated nations and states above ideology and gave preference to political realities over the fictions created by the bipolar division of the world.

Paradoxically, the immediate consequences of recognition were disappointing both in terms of economic opportunity and diplomacy. The onset of the cultural revolution in China disrupted the nascent relationship. The Franco-Chinese relationship reached a low point when, in 1968, Beijing expressed its support for protests in Paris with which they were ideologically aligned. In terms of commerce, recognition had not produced a surge in trade. By 1967, West Germany, which had no diplomatic representation in Beijing, was exporting more than twice as much to China as France (Matin, 2008). Nonetheless, de Gaulle's decision established the diplomatic and symbolic foundation upon which all subsequent Franco-Chinese engagement would be built. It created a framework of mutual recognition and respect that would prove essential once conditions became more favorable for deeper cooperation.

From Normalization to Strategic Partnership

Following China's economic opening under Deng Xiaoping in 1978, The relationship between France and China entered a new phase. France became the first Western power to sign a scientific and technical cooperation agreement with China in January of that year. This laid the groundwork for decades of collaboration in fields ranging from nuclear energy and aerospace to public health and environmental science (Tran, 2022). This early scientific partnership was significant not merely for its technical outcomes but for the institutional bonds

and interpersonal relationships that it forged between French and Chinese researchers, bureaucrats and business leaders.

The following years saw a steady and deepening of the bilateral relationship across multiple dimensions. High level visits between French and Chinese leaders became increasingly frequent. The scope of cooperation expanded from its original focus on science and technology to encompass education, culture, tourism and defense. A critical milestone was reached in 2004 when France and China elevated the status of their relationship to that of a “comprehensive strategic partnership”, a designation which reflected the depth and breadth of their engagement (Tran, 2022; Duggal 2022). The two nations had subsequently established high-level strategic and dialogues on international issues in 2001, high-level economic dialogues in 2013, and high-level consultations on people-to-people exchanges in 2014, creating an elaborate institutional architecture for managing the relationship across its various dimensions (Dugal 2022).

The evolution of Franco-Chinese relations has not been without tensions. Disputes such as arms sales to Taiwan, the reception of the Dalai Lama by French Leaders, and different postures on human rights have periodically strained the relationship. More recently, China’s growing assertiveness in the Indo-Pacific, region where France maintains significant territorial and military presence, with over 1.6 million citizens in its overseas territories, has introduced new competitive dynamics (Duggal, 2022). France’s 2021 Strategic Review characterized China simultaneously as a “systematic rival”, an “economic competitor” and sometimes an “important diplomatic partner”, formulation that captures the complexity of the contemporary relationship between both nations (Duggal 2022). Even though these periods of political friction, the cultural and economic dimensions of the relationship have demonstrated considerable resilience, suggesting that the bonds forged though decades of cultural diplomacy provide a stabilizing foundation for the overall bilateral dynamic.

The sixtieth anniversary of Franco-Chinese diplomatic relations in 2024 was marked by the designation of a China-France Year of Cultural Tourism. This initiative perfectly highlighted the enduring centrality of cultural exchange to the bilateral relationship (Silvester et al., 2025). President of the People's Republic of China, Xi Jinping's visit to France in 2024 further underscored the strategic importance that both nations affix to their partnership. As Silvester et al. (2025) have documented, the six decades since de Gaulle's recognition have produced a rich body of transcultural exchange, artistic production, and scholarly engagement that has fundamentally shaped how France and China perceive and interact with one another.

France's Cultural Diplomacy Apparatus

France possesses one of the world's most extensive and sophisticated cultural diplomacy infrastructures. Developed over a century and a half ago, this apparatus reflects a deeply ingrained conviction within French political culture that the promotion of French language, culture and values abroad is integral to France's identity and influence as a global power. Understanding this architecture is essential for analyzing how French cultural diplomacy operates in the context of Franco-Chinese relations.

The Institutional architecture of French Soft Power

The cornerstone of France's cultural diplomacy network is known as the Alliance Française, founded in 1883 as the world's first cultural institute dedicated to promoting a national language and culture abroad. This model was replicated over the following decades and expanded through the creation of additional institutions, including the Institute Français, which coordinates French cultural programming globally, and Campus France, which manages the recruitment and support of international students in French higher education (Dikanbayeva et al., 2015). These institutions form a unified cultural diplomacy strategy designed to showcase French national identity on the world stage. As Dikanvayeva et al. observe, organizations such as the Alliance Française, Institute Français and Campus France not only serve as educational providers but also as platforms for deepening bilateral relations between France and other nations.

The scale of this infrastructure is truly remarkable. France maintains 154 cooperation departments and 124 French institutes worldwide, staffed by more than 6,000 employees (Adleiba & Sakaev, 2019). This global network enables France to to maintain a cultural presence, projecting its language, artistic traditions, culinary heritage, and intellectual culture to diverse audiences in virtually every region of the world. Tourism represents another significant

component of France's soft power. France is the world's leading tourist destination since the 1980's and it has since leveraged its cultural heritage, such as its museums and culinary traditions, as a source of both national pride and economic activity (Dikanbayeva et al., 2025).

The French state has also been strategic in linking cultural diplomacy explicitly to economic objectives. Under Foreign Minister Laurent Fabius, France articulated the concept of "economic diplomacy," which recognized cultural promotion as a complement to trade policy rather than a separate activity (Tran, 2022). This integration of cultural and economic objectives is particularly relevant to the Franco-Chinese case, where cultural engagement has frequently served as a precursor or facilitator of commercial partnerships.

French Cultural Diplomacy in China

France's cultural diplomacy infrastructure has been actively deployed in China since the normalization of relations. The Alliance Française operates centers across major Chinese cities, offering French language instruction to an ever-growing number of Chinese students. Educational exchange has been a particularly dynamic area of cooperation. Chinese students are consistently among the three largest groups of international students in France. The flow of students in both directions has increased substantially over the past two decades (Tran, 2022). These educational exchanges are not merely significant for their immediate academic value, but also for the long-term networks of personal and professional relationships they create between French and Chinese citizens.

Cultural exchange between France and China extends well beyond language education. The two countries have maintained active programs of cooperation in cinema, visual arts, literature, and performing arts. As Badiane et al. (2024) note, the number of individuals studying Chinese in France increased sixteenfold in a single decade, with 44,000 middle and high school students choosing Chinese language courses, demonstrating that curiosity flows in both directions across the Franco-Chinese divide. Every year, exchanges in cinema rank prominently

among Sino-French cultural activities, and both governments have invested in promoting cultural understanding through state-sponsored initiatives.

Scientific cooperation represents another critical dimension of France's cultural engagement with China. The 1978 scientific and technical cooperation agreement initiated a partnership that, over subsequent decades, has grown to encompass more than 3,000 researchers from 600 research units in the two countries, cooperating in nearly sixty joint research structures (Tran, 2022). Landmark collaborative achievements include the launch of the Franco-Chinese scientific satellite CFOSAT in October 2018 and the establishment of a Pasteur Institute in Shanghai. The Franco-Chinese Joint Scientific and Technological Commission, which held its fourteenth session in February 2019, has defined areas of collaboration encompassing sustainable urban development, space, health, agriculture, particle physics, advanced materials, and artificial intelligence (Tran, 2022). These scientific partnerships, while ostensibly separate from cultural diplomacy, contribute to the broader ecosystem of mutual engagement and trust that facilitates economic cooperation.

The people-to-people dimension of Franco-Chinese cultural exchange has deep historical roots that predate the formal diplomatic relationship. Between 1902 and 1927, the Work-Study Movement supported approximately 4,000 young Chinese intellectuals traveling to France to study and work in factories, nurturing the first generation of Chinese communist revolutionaries including Deng Xiaoping and Zhou Enlai (Tran, 2022). This historical connection imbues the contemporary educational relationship with a symbolic significance that transcends its practical dimensions, reinforcing the narrative that France and China share a longstanding tradition of intellectual and cultural exchange.

China's Cultural Diplomacy and the Confucius Institute

While France's cultural diplomacy apparatus has received most scholarly attention in the context of Franco-Chinese relations, China has also pursued an active strategy of cultural projection that has significantly shaped the bilateral dynamic. Understanding China's approach to cultural diplomacy is essential for a complete picture of how mutual cultural engagement is essential for a complete picture of how mutual cultural engagement drives economic outcomes in the relationship.

China's Soft Power Strategy

China's deployment of soft power as a deliberate soft power strategy is a relatively recent phenomenon compared to France's centuries-old tradition, but it has been pursued with considerable ambition and resources. The Confucius Institute program, launched in 2004, represents China's most visible cultural diplomacy initiative. Modeled in part by institutions like the Alliance Française and the German Goethe-Institute, Confucius Institutes are partnerships between Chinese universities and foreign host institutions that offer Chinese language instruction, cultural programming, and educational exchanges. As Gonzales Frenández (2021) observes, China's approach to cultural diplomacy draws on a foundation of Confucian, Daoist, and Buddhist philosophical traditions, framing China's cultural projection in terms of harmony, mutual benefit, and civilizational exchange rather than the promotion of a specific political ideology.

In France, the Confucius Institute program has established a significant presence, with seventeen institutes operating across the country as of 2020 (Tran, 2020). These institutes serve as centers for Chinese language education, cultural events, and academic collaboration, providing French citizens with direct access to Chinese culture and language that would otherwise be difficult to obtain. The presence of the Confucius Institutes in France is part of a

broader pattern of Chinese cultural engagement with Europe, driven by Beijing's recognition that cultural understanding can facilitate the commercial and diplomatic objectives that are central to Chinese foreign policy.

The Confucius Institutes have not been without controversy. In recent years, concerns about academic freedom, potential political influence, and the role of the Chinese government in shaping the institute's programming have prompted a debate in France and across Western countries. Despite these concerns, the institutes continue to operate and play a role in facilitating cultural exchange between France and China. From the perspective of this work's argument, the most relevant point is that the Confucius with France, an investment that complements and reinforces the cultural diplomacy efforts flowing in the other direction through French institutions.

Reciprocal Cultural Engagement and Its Economic Implications

The reciprocal nature of Franco-Chinese cultural diplomacy is a distinctive feature of the bilateral relationship, with both nations investing in institutions and programs designed to promote mutual understanding. This bidirectional flow of cultural engagement creates a thicker web of institutional connections, personal relationships and shared knowledge than would exist if cultural diplomacy flowed only in one direction. As Badiane et al. (2024) have noted, strategic trust and pragmatic cooperation between China and France are stronger than those existing between China and other European Union countries, a finding that suggests the depth of cultural engagement between the two nations has produced measurable dividends in terms of diplomatic and commercial goodwill.

The LSE IDEAS report on China-EU relations and European soft power (Lisbonne Group, 2015) situates France's cultural diplomacy within a broader European context, arguing that cultural industries represent Europe's primary comparative advantage in soft power globally. These industries contribute over four percent of the GDP and serve as the third largest provider

of employment in the EU. The report highlights China's growing interest in cultural cooperation with Europe, including Beijing's establishment of the East Asia City of culture program, which was inspired by the European Capital of Culture initiative. This kind of institutional emulation suggests that Chinese policymakers view European cultural diplomacy not just as an instrument of Western influence but as a model worthy of adaptation. This perception further strengthens the foundation for reciprocal cultural engagement.

The economic implications of this reciprocal cultural engagement will be explored in greater detail in the following section. It is worth noting, however, that the institutional infrastructure of cultural diplomacy serves a dual function. On one hand, these institutions promote cultural understanding as an end itself, fostering appreciation for the art, philosophy and culture of the partner nation. On the other hand, they serve as practical facilitators of economic activity, providing the language skills, cultural competencies, and personal networks that international business requires. In the Franco-Chinese context, where cultural distances between the two societies is substantial, these practical contributions of cultural diplomacy to economic exchange are particularly significant.

The Economic Dimensions of Franco-Chinese Relationships

The preceding sections have established the historical and institutional foundations of Franco-Chinese cultural diplomacy. This section returns to the economic dimensions of the relationship, examining the concrete commercial outcomes that have emerged from six decades of cultural engagement. The evidence presented here supports this work's central argument that cultural diplomacy creates conditions favorable to trade, investment, and business collaboration.

Bilateral Trade Flows

The trade relationship between France and China has grown substantially since the normalization of diplomatic relations, though it has always been marked by persistent imbalances. According to French customs data analyzed by Bortolini and Jacques (2021) French Exports to China reached €20.8 billion in 2018, representing a year-over-year increase of eleven percent and accounting for 4.2 percent of France's total exports. China ranked as France's seventh largest export destination. On the import side, French purchases of Chinese goods totaled €49.9 billion in 2018, making China France's second largest supplier after Germany (Badiane et al., 2024). This trade deficit reflects the broader pattern of EU-China relations, in which European countries import substantially more from China than they export.

Placing France's bilateral trade with China within the broader European context illuminates both the scale of the economic relationship and France's particular position within it. The European Union, as a whole, has remained China's largest trading partner, surpassing the United States, and has also become China's primary source of imports, ahead of South Korea and Japan (Lisbonne Group, 2015). Bilateral trade in goods and services between the EU and China tripled between 2004 and 2014 reaching the €460 billion mark. Within this framework, France has positioned itself as a leading destination for Chinese investment and a significant

exporter of high-value goods, including aircraft, luxury products, wine, and agricultural commodities.

The composition of Franco-Chinese trade reflects the complementary economic structures of the two nations. French exports to China are concentrated in high-value sectors where France possesses comparative advantages. Notable examples include aerospace, luxury goods, cosmetics, pharmaceuticals, and agri-food products. Chinese exports to France, by contrast, consist primarily of consumer goods, electronics, and industrial equipment. This pattern of trade specialization suggests that the cultural prestige associated with French brands plays a meaningful role in in driving export performance in key sectors. This cultural prestige is a direct product of France's soft power investments.

Foreign Direct Investment

Cross-border investment flows between France and China have grown dramatically in recent decades, creating deep structural linkages between the two economies. From 2000 to 2018, Chinese investments in metropolitan France have totaled €14.3 billion, encompassing sectors as diverse as hotels, transportation, vineyards, agriculture, and luxury goods (Tran, 2022). In 2015, Chinese outward foreign direct investment surpassed inward FDI for the first time in the country's history. France emerged as one of the leading European destinations for this capital. By 2020, there were approximately 700 subsidiaries of Chinese and Hong Kong companies operating in France, collectively employing 45,000 French workers (Tran 2022).

French investment in China has similarly expanded, particularly in industrial sectors where France possesses technological expertise. The Franco-Chinese economic partnership has been especially pronounced in civilian nuclear technology and aerospace, areas where the two countries have collaborated since the 1970's. More recently, cooperation has extended to sustainable development, healthcare, the aging economy, innovation, and the financial services (Tran, 2022). The breath of these investment relationships suggests that the trust and familiarity

cultivated through cultural diplomacy have facilitated commercial engagement across a wide range of industries.

High level diplomatic visits have frequently served as occasions for the announcement of major investment agreements, illustrating the close connections between political-cultural relations and commercial outcomes. During president Xi Jingping's visit to Paris in March 2019, France and China signed fifteen business contracts with a combine value exceeding €30 billion. The centerpiece was an order for Airbus aircraft valued at approximately €30, alongside a €1 billion contract for France's EDF Group to construct an offshore windfarm in China (Tran, 2022; Duggal, 2022). These headline-grabbing agreements demonstrate how the infrastructure of cultural and diplomatic engagement creates opportunities for commercial transactions that might not otherwise occur.

Tourism and People-to-People Exchange

Tourism alone represents one of the most visible and economically significant dimensions of Franco-Chinese cultural exchange. France has been the world's leading tourist destination since the 1980's, and Chinese visitors have become an increasingly important segment of this market. The number of Chinese tourists visiting France grew from 715,000 in 2009 to approximately 2.2 million in 2018, a threefold increase in just one decade (Tran, 2022). More significantly from an economic standpoint, Chinese tourists are the highest spending visitors to France, generating €3.5 billion in revenue in 2019 alone. This spending represented six percent of the total revenue generated by all tourists visiting France that year.

The growth of Chinese tourism in France illustrates a direct mechanism through which cultural diplomacy translates into economic activity. The appeal of France as a destination for Chinse travelers is inseparable from the soft power assets that French cultural diplomacy has cultivated over generations. The prestige of French art, cuisine, fashion and lifestyle, the allure of Paris as a global capital and the reputation of French luxury brands are all amongst these

assets which Chinese travelers find ever so alluring. Chinese tourists visiting France are, in effect, consuming the products of French soft power, and their spending injects billions of euros into the French economy annually.

Recognizing the economic impact of this tourist flow, the French government has undertaken initiatives specifically designed to enhance France's appeal to Chinese visitors. The 2021 Franco-Chinese Year of Cultural Tourism, developed by the French Ministry for Europe and Foreign Affairs, aimed to promote France as a tourist destination in China while simultaneously promoting China as a destination for French travelers (Tran, 2022). This bidirectional approach reflects the reciprocal logic that characterizes Franco-Chinese cultural diplomacy more broadly. The initiative also targeted a new generation of Chinese tourists who were more educated, affluent and more interested in quality cultural experiences, whose preferences align particularly well with France's soft power assets.

A Case Study of the French Wine Industry in China

The French wine import sector provides a particularly instructive case study for examining the relationship between cultural diplomacy and economic outcomes in Franco-Chinese relations. Wine is a product deeply embedded in the French cultural identity; one whose prestige derives in substantial part from the soft power associations that French cultural diplomacy has cultivated. At the same time, wine trade involves complex cross-cultural business relationships that require the kind of mutual understanding that cultural exchange programs foster. Empirical research on this sector offers direct evidence for the mechanisms through which cultural diplomacy facilitates commercial success.

France's Position in the Chinese Wine Market

France occupies a dominant position in the Chinese wine import market, a position that reflects both the quality of French wines and the cultural prestige associated with French viticulture. In 2017, French wine exports globally amounted to $10.3 billion US dollars, representing 29.1 percent of total world wine exports and ranking first among all wine-exporting nations (Shao et al., 202). Within the Chinese market specifically, France has maintained its position as the lead source of imported wine for more than two decades, demonstrating stable growth of 14.6 percent in volume and 16.4 percent in value in 2017 compared to the previous year.

The growth of wine consumption in China has been remarkable by any measure. Chinese win consumption increased by eighty percent between 2000 and 2017, from 1.73 billion hectoliters to 1.79 billion hectoliters annually (Shao et al., 2020). Wine imports have followed the same trajectory, with 745 million liters imported during 2017 alone, which constitutes 16.9 percent increase in volume and an eighteen percent increase in value compared to the prior

year. This rapidly increasing market presents enormous opportunities for French exporters, but realizing those opportunities requires navigating the substantial cultural distance between France and Chinese business practices.

Cultural Distance Relationship Management

The empirical research conducted by Shao, Bouzdine-Chameeva, and Lunardo (2020) on French wine exports to China provides rigorous evidence for the relationship between cultural understanding and commercial performance. The researchers surveyed 174 French export managers with direct experience trading wine with China. They collected data at four major international wine events in France between June and December 2017. Their findings illuminate the mechanisms through which cultural competence affects business outcomes.

The study examined the concept of psychic distance. This term encompasses both business distance, or the differences in legal, political and economic environments, as well as cultural distance, which refers to the differences in values, norms and traditions. The researchers found that relationship management practices, including communication quality, long term relationship orientation, and relationship investment positively affect financial export performance. Crucially, the study also found that cultural distance moderates the effect of business distance on relationship management. When cultural distance is high, as it is between China and France, the challenges posed by business distance become more difficult to overcome through relationship-building efforts alone.

This finding has important implications for understanding the role of cultural diplomacy. The cultural exchange programs, language training initiatives and educational partnerships that constitute cultural diplomacy serve precisely to reduce the cultural distance between French and Chinese business partners. By cultivating mutual understanding and providing practical tools for cross-cultural engagement, these programs lower the barriers to effective relationship management and successful commercial exchange. The Shao et al. study provides empirical

confirmation of what cultural diplomacy practitioners have long intuited. This is the idea that cultural understanding is not merely a nice-to-have supplement to commercial activity but a practical prerequisite for success in cross-cultural business environments.

Business etiquette and Commercial Success

The research of Badiane, Tan, and Wong (2024) on the differences in business etiquette between France and China offers additional insights into the practical dimensions of cross-cultural commerce. Their analysis identifies specific areas where French and Chinese business practices diverge, including approaches in negotiation, relationship-building, hierarchy, and communication style. These differences, if not properly understood and navigated, can lead to misunderstandings that can undermine business relationships.

Badiane et al. significantly note that strategic trust and pragmatic cooperation between China and France are stronger than those existing between China and other countries within the European Union. This finding suggests that the depth and duration of Franco-Chinese cultural engagement have produced measurable advantages in terms of the commercial relationships that French firms are able to build with their Chinese counterparts. The cultural diplomacy infrastructure developed over six decades has created a foundation of mutual familiarity that facilitates business dealings across the cultural divide.

The wine industry exemplifies how cultural prestige and commercial success reinforce each other in Franco-Chinese relations. French wine enjoys enormous cultural cachet in China. Such prestige that owes much to the broader soft power of French civilization. Chinese consumers associate French wine with sophistication, quality and cultural refinement. These associations have been cultivated and reinforced through generations of French cultural diplomacy. This cultural prestige translates directly into commercial value, as Chinese consumers are willing to pay premium prices for French wines. In return, this enables French exporters to command market positions that competitors from other countries struggle to match.

The wine trade thus illustrates the economic returns that flow from sustained investments in cultural diplomacy.

Discussion: Cultural Diplomacy as an Economic Strategy

The evidence presented in the preceding sections supports the central argument of this work, which is the idea that cultural diplomacy and cross-cultural understanding between France and China have created opportunities that would not otherwise exist. This section synthesizes the empirical findings, addresses the theoretical implications, and considers the limitations and qualifications that apply to the argument.

Synthesizing the Evidence

The Franco-Chinese case demonstrates multiple pathways through which cultural diplomacy generates economic value. First, cultural diplomacy creates the institutional infrastructure for commercial engagement. The networks of educational exchange, scientific collaboration, and artistic partnership that have developed between France and China over the past six decades provide channels through which business relationships can form and information about commercial opportunities can flow. French executives who studied alongside Chinese classmates, French researchers who collaborated with Chinese scientists, and French artists who exhibited their works in Chinese galleries all carry with them personal relationships and cultural knowledge that facilitate subsequent business dealings.

Cultural diplomacy reduces the transaction cost costs associated with cross-cultural commerce. The language training, cultural orientation, and practical knowledge that cultural exchange programs provide lower the barriers to effective communication and relationship management between French and Chinese business partners. The empirical research on the wine industry confirms that relationship management practices significantly affect export performance, and that cultural distance complicates these efforts. By reducing cultural distance, the programs and institutions of cultural diplomacy make it easier for firms to build the relationships on which successful international commerce depends.

The prestige and desirability of a nation's exports are enhanced by cultural diplomacy. France's position as the world's leading wine exporter to China is inseparable from the cultural prestige that French viticulture enjoys among Chinese consumers, a prestige has been cultivated by French cultural diplomacy over generations. The same dynamic applies to French luxury goods, fashion, cosmetics and other products whose appeal is bound up with the broader soft power of French civilization. Chinese consumers are not merely purchasing products when they buy French wine or French fashion; they are purchasing an association with French culture, an association that cultural diplomacy has made valuable.

Cultural diplomacy creates direct economic activity through tourism and people-to-people exchange. The 2.2 million Chinese tourists who visited France in 2018, spending €3.5 billion, were drawn by cultural assets that French soft power has made globally renowned. This spending represents a direct economic return of France's long-term investment in cultural prestige.

Theoretical Implications

The Franco-Chinese case offers support for the theoretical frameworks introduced at the outset of this paper while also suggesting refinements and extensions. Joseph Nye's concept of soft power provides the essential starting point. Cultural attractiveness generates influence, and that influence can be leveraged for a variety of purposes, including commercial ones. The Franco-Chinese evidence confirms that soft power is not merely a matter of diplomatic prestige but has tangible consequences. Nations that invest in cultural diplomacy can expect returns in the form of enhanced trade, investment, and tourism.

The "coopetition" framework proposed by Tran (2022) captures an important dimension of the Franco-Chinese relationship that a simple soft power analysis may overlook. France and China are simultaneously partners and competitors. They cooperate on climate, science, and trade while competing for influence in Africa, the Indo-Pacific, and global governance

institutions. Cultural diplomacy serves as a stabilizing force within this “coopetitive” dynamic, maintaining channels of communication and reservoirs of goodwill that will help to manage the competitive dimensions of the relationship. The economic ties fostered by cultural diplomacy create stakeholders in both countries with vested interests in the continuation of cooperative relations.

The psychic distance literature from international business studies provides the most direct theoretical mechanism linking cultural diplomacy to commercial outcomes. The Shao et al. (2020) study demonstrates that cultural distance moderates the ability of firms to build the relationships necessary for success in export. Cultural diplomacy programs that reduce this distance, through language training, cultural education, and exchange opportunities, thereby enhance the capacity of firms to engage in successful cross-border commerce. This mechanism operates at the level of individual firms and managers, complementing the macro-level dynamics captured by soft power theory.

Limitations and Qualifications

Several limitations qualify the conclusions of this analysis. First, establishing precise casual relationships between cultural diplomacy and economic outcomes is inherently difficult. The growth of Franco-Chinese trade and investment has occurred alongside broader processes of globalization and China’s economic opening that would have generated commercial opportunities regardless of cultural diplomacy efforts. Isolating the specific contribution of cultural diplomacy to overall economic growth is methodologically challenging.

The relationship between cultural diplomacy and economic outcomes is likely bidirectional. While this paper emphasized how cultural engagement facilitates commerce, it is equally true that commercial interests drive cultural engagement. French businesses operating in China have strong incentives to support cultural exchange programs that enhance access to Chinese markets. Chinese firms investing in France also benefit from cultural initiatives that

smooth their integration into French business networks. The cultural and commercial dimensions of the relationship are mutually reinforcing rather simply unidirectional.

The Franco-Chinese case may not generalize to all bilateral relationships. France and China possess distinctive characteristics that make their experience atypical. Examples of such qualities include France's exceptional cultural diplomacy network and China's rapid economic growth, as well as the particular history of Franco-Chinese engagement stemming from de Gaulle's official recognition. Further research comparing the Franco-Chinese case to other bilateral relationships would help to establish which findings are recognizable and which are context-specific.

Conclusion

This work argued that cultural diplomacy and cross-cultural understanding between France and China have served as catalysts for bilateral economic growth, creating economic opportunities in trade, investment, and tourism that would not otherwise exist. This argument has been developed through and interdisciplinary analysis integrating perspectives from French studies, East Asian studies and business, and has drawn evidence from the historical evolution of Franco-Chinese relations, the institutional apparatus of French and Chinese cultural diplomacy, and the empirical literature on cross-cultural commerce.

The evidence supports several conclusions. First, the diplomatic foundation established by de Gaulle's 1964's recognition of the People's Republic of China created the conditions for subsequent cultural and commercial engagement. Each major diplomatic milestone such as the 1978 scientific cooperation agreement, the 2004 comprehensive strategic partnership, and the establishment of high-level dialogue mechanisms, expanded the space for economic activity. Second, the France's extensive cultural diplomacy infrastructure, built over more than a century and including institutions such as the Alliance Française, has been actively deployed in China to cultivate cultural understanding and build networks of personal and professional relationships. Third, China's reciprocal investments in cultural diplomacy, including the Confucius Institutes operating in France, have reinforced the bilateral character of cultural engagement, creating a web of institutional ties than would exist if cultural diplomacy flowed only in one direction. Fourth, the economic outcomes of this cultural engagement are substantial and measurable. Bilateral trade has grown into tens of billions of euros annually. Chinese investment in France totaled €14.3 billion between 2000 and 2018, supporting 45,000 French jobs through 700 Chinese and Hong Kong subsidiaries. Chinese tourists spent €3.5 billion in France in 2019, drawn by the cultural assets that French soft power has made globally renowned. In sectors such as wine, where cultural prestige directly affects consumer preferences, France has

maintained a dominant market position. Fifth, empirical research on cross-cultural commerce confirms that relationship management and cultural understanding significantly affect business performance, and that cultural distance complicates relationship-building efforts necessary for export success. Cultural diplomacy programs that reduce this distance enhance commercial outcomes.

The Franco-Chinese case carries implications beyond the specific bilateral relationship. In a world where geopolitical tensions frequently dominate the discussion of great-power relations, the role of cultural diplomacy as a stabilizing force and economically generative force deserves recognition. Cultural engagement does not eliminate competition or resolve fundamental disagreements, but it does create channels for communication, reservoirs of goodwill, and networks of stakeholders with interests in cooperation. These assets prove valuable precisely when political relations become strained. They provide a foundation for continued engagement even in difficult periods.

For policymakers, the Franco-Chinese experience suggests that investments in cultural diplomacy yield returns that extend beyond soft power prestige to include measurable economic benefits. For business leaders, the evidence underscores the importance of cultural competence and relationship management in cross-cultural commerce. This suggests that firms should attend to cultural understanding as a strategic priority rather than a peripheral concern. For scholars, the case points toward fruitful avenues for further research, including comparative studies of cultural diplomacy across different bilateral relationships, more rigorous quantification of the economic returns to soft power investment, and deeper investigation of the mechanisms through which cultural understanding facilitates cultural exchange.

Ultimately, this paper has sought to demonstrate that cultural diplomacy is not merely an instrument of prestige but rather a strategic pathway toward deeper and sustainable economic partnership. The six-year history of Franco-Chinese relations, from de Gaulle's recognition

through the comprehensive strategic partnership of today, illustrates how two nations with profoundly different historical trajectories, political systems, and cultural norms can build a foundation for commercial cooperation through sustained investment in mutual understanding. As the global economy becomes ever more interconnected and cross-cultural, the lessons of the Franco-Chinese experience merit careful attention.

References

Adleiba, E. G., & Sakaev, V. T. (2019). Cultural diplomacy of France: Essence, main directions and tools. Journal of Educational and Social Research, 9(4), 199–204. https://doi.org/10.36941/jesr-2019-0024

Badiane, K., Tan, C., & Wong, M. W. (2024). Business etiquette and communication in France and China: An intercultural approach. Global Academic Journal of Economics and Business, 6(2), 36–46. https://doi.org/10.36348/gajeb.2024.v06i02.002

Bortolini, C., & Jacques, E. (2021). Les relations commerciales entre la France et la Chine en 2018 (douanes françaises). Direction Générale du Trésor.

Dikanbayeva, A. M., Sarybayev, M. S., & Utkelbay, R. Y. (2025). French soft power model and its adaptation in Central Asia: Cultural diplomacy, tourism, and national branding. International Relations and International Law Series, 110(2), 27–38. https://doi.org/10.26577/IRILJ202511023

Duggal, M. (2022). The China factor in France's Indo-Pacific strategy. Journal of Indo-Pacific Affairs, July 2022, 1–18.

González Fernández, S. M. (2021). The role of the cultural and creative industries in cultural diplomacy and soft power between China and the European Union. JANUS.NET, e-journal of International Relations, 12(1), 31–61.

Lisbonne de Vergeron, K. (2015). China-EU relations and the future of European soft power: A strategy for a European cultural diplomacy. LSE IDEAS Strategic Update 15.4.

Lüthi, L. M. (2008). Rearranging international relations? How the concept of 'civilizations' affects diplomatic practice. In G. Bentivoglio & S. Ferretti (Eds.), Civilizations and world order. Routledge.

Martin, G. (2008). Playing the China card? Revisiting France's recognition of Communist China, 1963–1964. Journal of Cold War Studies, 10(1), 52–80.

Nye, J. S. (2004). Soft power: The means to success in world politics. Public Affairs.

Shao, L. H., Bouzdine-Chameeva, T., & Lunardo, R. (2020). The interacting effect of business and cultural distances on relationship management and export performance: The case of wine export between France and China. Journal of Business & Industrial Marketing, 35(11), 1659–1672. https://doi.org/10.1108/JBIM-04-2019-0142

Silvester, R., Li, X., & Hartley, L. (2025). Introduction: France–China 60 years on. French Cultural Studies, 1–18. https://doi.org/10.1177/09571558251379314

Tran, E. (2022). Role dynamics and trust in France-China coopetition. Mediterranean Politics. https://doi.org/10.1080/13629395.2022.2035138

Tran, E. (2023). Twitter, public diplomacy and social power in soft-balancing China–France relations. Journal of Contemporary China. https://doi.org/10.1080/10670564.2023.2193150